

Land Use Act, 2019

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 10

Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act shall be called the "Land Use Act, 2076".

(2) This Act shall commence immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Residential Area" means land on which houses used for human habitation are situated, and land used for a cowshed, granary, garage, stable, well, fruit orchard, kitchen garden, courtyard, or any other similar purpose, whether attached to the house or not, and the said term also includes any area designated for residence pursuant to the prevailing law.

(b) "Industrial Area" means a workplace or an industry producing goods, and land covered by buildings, houses, and sheds constructed for the operation thereof, including land set aside for such purpose, and the said term also includes a Special Economic Zone designated pursuant to the prevailing law with the objective of promoting industries in a specific geographical area.

(c) "Implementation Committee" means the Local Land Use Implementation Committee referred to in Section 20.

(d) "Agricultural Area" means land used or capable of being used for agricultural crop production, animal and bird rearing, farm house, pisciculture, apiculture, sericulture, including agricultural production, horticulture or forestry, herbs, and agro-forestry.

(e) "Mining and Mineral Area" means an area set aside for the purpose of excavation, production, purification, processing, and storage of mines and minerals pursuant to the prevailing law.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

(g) "Provincial Land Use Council" means the Provincial Land Use Council referred to in Section 16.

(h) "Land Use" means the use of land.

(i) "Land Use Zone" means a zone classified pursuant to Section 4.

(j) "Land Use Zoning Map" means a map prepared pursuant to Section 5.

(k) "Land Use Plan" means a plan prepared pursuant to Section 6 to systematize land use.

(l) "Land" means the surface of the earth, the part directly below the surface up to the center of the earth, and the part above the surface up to the limit of the earth's gravitational pull.

(m) "Ministry" means the Ministry of the Government of Nepal dealing with land management affairs.

(n) "Forest Area" means a forest area designated pursuant to the prevailing law.

(o) "Commercial Area" means land covered by buildings constructed for banks, cooperatives and financial institutions, shops, hotels, exhibition halls, petrol pumps, warehouses, cinema halls, health, communication, entertainment-related services, places for the purchase and sale of goods, institutions providing literary, scientific, technical services, information and consultation, or any other commercial purpose, including land set aside for such purpose, and land covered by tourism businesses, and the said term also includes an area designated pursuant to the prevailing law to expand the market in a specific geographical area.

(p) "Federal Land Use Council" means the Federal Land Use Council referred to in Section 14.

(q) "Area of Cultural and Archaeological Importance" means religious sites, rest houses (dharmashala), palaces of archaeological importance, and areas designated as being of cultural and archaeological importance pursuant to the prevailing law.

(r) "Area of Public Use" means schools, universities, hostels, cremation sites, roads, irrigation canals or channels, wells, ponds, rest places (chautari), public shelters (pati, pauwa), cow shelters (gaushala), parks, bus parks, airports, grazing lands (gauchar), playgrounds, and buildings, houses, sheds, places constructed for other public use, and land covered by such structures, and the said term also includes an area designated as an area of public use in a specific geographical area pursuant to the prevailing law.

(s) "Local Land Use Council" means the Local Land Use Council referred to in Section 18.

Authority to Operate Land Use Program: (1) The Government of Nepal may operate a land use program in all areas of Nepal, considering the proper use of land and public interest.

(2) Prior to operating a program pursuant to sub-section (1), a public notice must be published. 4. Classification of Land Use Zones: (1) Pursuant to this Act, land shall be classified into the following land use zones based on Nepal's topography, land capability and suitability, existing use of land, and necessity, among others:-

- (a) Agricultural Area,
- (b) Residential Area,
- (c) Commercial Area,
- (d) Industrial Area,
- (e) Mining and Mineral Area,
- (f) Forest Area,
- (g) River, Stream, Lake, Wetland Area,
- (h) Area of Public Use,
- (i) Area of Cultural and Archaeological Importance,
- (j) Other areas designated as required by the Government of Nepal.

(2) Notwithstanding anything written in sub-section (1), land classified into a zone other than the area mentioned in clause (a) of the same sub-section, until it is used in that zone, may be brought into use as an Agricultural Area after informing the Local Land Use Council, and it shall not be barred.

(3) The zones classified pursuant to sub-section (1) may be further classified into sub-zones as prescribed.

(4) If a Province or Local Level deems it necessary to classify an area other than the zones classified pursuant to sub-section (1) as a land use zone within its jurisdiction, it shall submit a written request to the Federal Land Use Council to include such area in the land use zone classification.

- (5) Upon receipt of a written request pursuant to sub-section (4), if the Federal Land Use Council deems additional classification necessary, it may grant consent to the concerned Province or Local Level to classify the land use zone.
- (6) The concerned Local Land Use Council shall classify land within its jurisdiction into land use zones pursuant to the bases and criteria for land use zone classification determined under this Act and the procedure prepared by the Ministry.
- (7) While classifying zones pursuant to sub-section (6), the Local Land Use Council shall classify areas where any federal or provincial level plan is being operated or designated to be operated accordingly.
- (8) The Local Land Use Council shall publish and broadcast the notice of land use zone classification through local newspapers and electronic communication media for the information of the general public.
- (9) If the Government of Nepal or the Provincial Government needs to operate a plan different from the designated classification in an area already classified by the Local Land Use Council, the existing land use shall be changed pursuant to Section 8.
- (10) The bases, criteria, and area for land use zone classification shall be as prescribed.
6. Formulation of Land Use Plan: (1) Before formulating a land use plan, the Government of Nepal, Provincial Government, and Local Level shall conduct a study on the actual state of land, population growth rate, food and housing needs, increase in demand for land for economic development and infrastructure construction, among other subjects, and prepare a base paper for a long-term land use plan.
- (2) The Ministry shall prepare a Federal Land Use Plan based on the base paper for the long-term land use plan pursuant to sub-section (1) and overall economic, social, infrastructure development, among other subjects, and implement it after approval from the Federal Land Use Council.
- (3) The Provincial Government shall prepare a provincial-level land use plan based on the economic, social, infrastructure development, among other subjects, within its Province.
- (4) While formulating the provincial-level land use plan pursuant to sub-section (3), it shall be implemented after approval from the Provincial Land Use Council, ensuring it is not inconsistent with the Federal Land Use Plan.
- (5) Each Local Level shall prepare a local land use plan based on the land use zoning map and the economic, social, infrastructure development, among other subjects, within its jurisdiction, ensuring it is not inconsistent with the federal and provincial-level land use plans.
- (6) The land use plan prepared pursuant to sub-section (5) shall be implemented after approval from the Local Land Use Council.
- (7) While preparing the land use plan pursuant to sub-section (5), the Local Level may formulate separate plans for rural and urban areas as required.
- (8) While preparing the land use plan, it must be prepared in such a way that the following areas are visible:-
- (a) Industrial Corridor,
 - (b) Special Economic Zone,
 - (c) National Project,
 - (d) Projects spanning across provinces,

- (e) Natural and physical heritages of national importance that require conservation,
- (f) Places of religious and cultural importance bearing international recognition and human faith,
- (g) Areas containing schools or other educational zones, roads, health institutions, irrigation canals or channels,
- (h) Places sensitive from the perspective of national security,
- (i) Disaster risk-prone areas,
- (j) Protected areas for environmental sanitation and biodiversity conservation,
- (k) Other necessary areas.

(l) Other provisions relating to the land use plan shall be as prescribed. Chapter-3

Updating Land Ownership Records and Certificates, and Land Use Change

7.

8. Prohibition on Changing Land Use: (1) Land classified for one purpose pursuant to Section 4 shall not be permitted to be changed for use for another purpose by altering its land use.

(2) Notwithstanding anything written in sub-section (1), if a person needs to use the land under their possession for a purpose other than the designated one, they shall submit an application to the concerned Local Land Use Council stating the basis and reasons thereof.

(3) Upon receipt of an application pursuant to sub-section (2), or if the designated land use of any land within its jurisdiction needs to be changed, the concerned Local Land Use Council shall make a request to the Provincial Land Use Council stating the basis and reasons thereof.

(4) Upon receipt of a request pursuant to sub-section (3), the Provincial Land Use Council may, for the purpose of studying and submitting a technical report thereon, form a committee comprising experts in the fields of soil, geology, law, land use planning, agriculture, forest and environment, land, survey, and urban planning, and the Chairperson or Vice-Chairperson of the concerned Local Level.

(5) Based on the technical report submitted by the committee pursuant to sub-section (4), if it appears appropriate to change the land use as requested, the Provincial Land Use Council shall recommend to the Federal Land Use Council.

(6) Upon receipt of a recommendation pursuant to sub-section (5), the Federal Land Use Council may change the existing land use.

(7) Notwithstanding anything written in sub-section (1), the Government of Nepal may change the existing land use of the following places:-

- (a) The surface or subsurface of land containing significant natural resources in solid, liquid, or gaseous state,
- (b) Places where projects such as national pride or priority development projects, industrial areas, special economic zones, etc., need to be established,
- (c) Areas of importance from the perspective of national security, international borders, places of cultural, natural, historical, and archaeological importance included in the World Heritage List,
- (d) Places where inter-provincial land use zones require management,
- (e) Other areas deemed necessary by the Government of Nepal.

(8) Notwithstanding anything written elsewhere in this Section, the Provincial Government may, upon the

recommendation of the concerned Local Land Use Council, change the existing land use in the following circumstances:-

- (a) If inter-local level land use zones require management,
- (b) If a provincial-level development project falling within the geographical area of two or more Local Levels needs to be operated.

(9) Other provisions relating to the procedure for granting permission for land use change shall be as prescribed. 9.

Permissible Cases for Changing Land Use: (1) Notwithstanding anything written elsewhere in this Act, if any place or settlement within its jurisdiction becomes unsafe due to any disaster or natural calamity, the Local Level may declare such area as an unsafe or unorganized place and change the land use to arrange resettlement for the families or communities residing in such place to a safe and organized location. (2) While making a land use change pursuant to sub-section (1), land use may be changed to arrange settlement in an agricultural area only when land elsewhere is not available. 10. Control of Land Fragmentation and Consolidation: (1) The necessary bases and criteria for regulating the control of land fragmentation and land subdivision shall be as prescribed. (2) The Ministry, Provincial Government, and Local Level may conduct or cause to be conducted land consolidation programs by integrating plots of land of an area as prescribed for modernization, mechanization, commercialization, cooperative farming, collective farming, and public farming on agricultural land. (3) To encourage land consolidation and land integration programs, the Ministry, Provincial Government, and Local Level may operate programs with special facilities. (4) Other provisions relating to the conduct of land consolidation programs shall be as prescribed. 11. Prohibition on Construction of New Houses or Addition/Expansion of Settlement Infrastructure: (1) At the time of the commencement of this Act, except for residing in an existing house in an agricultural area as before, no new house shall be constructed or settlement infrastructure added or expanded. (2) Notwithstanding anything written in sub-section (1), if the house resided in as before collapses for any reason or becomes old requiring reconstruction, and if the person concerned has no other land elsewhere for construction of a house, there shall be no bar to constructing a new house or structures necessary for agricultural purposes in the agricultural area. 12. Prohibition on Developing Plots: No plots shall be developed commercially for any purpose, nor shall they be sold or distributed, in areas other than those classified for residential purposes pursuant to this Act. 13. Valuation of Land and Determination of Tax: While assessing the value of land within its jurisdiction and determining land-related taxes, the Local Level shall also base its assessment on the land use zone classification. Chapter-4 Land Use Implementation Structure 14.

Federal Land Use Council: (1) For the implementation of policies, plans, and standards relating to land use, there shall be a Federal Land Use Council at the federal level as follows:- (a) Minister/State Minister, Ministry of the Government of Nepal dealing with land management affairs - Chairperson (b) Member, National Planning Commission (looking after land management affairs) - Member (c) Secretary, Ministry of the Government of Nepal dealing with land management affairs - Member (d) Secretary, Ministry of the Government of Nepal dealing with finance affairs - Member (e) Secretary, Ministry of the Government of Nepal dealing with forest and environment affairs - Member (f) Secretary, Ministry of the Government of Nepal dealing with federal affairs - Member (g) Secretary, Ministry of the Government of Nepal dealing with urban development affairs - Member (h) Secretary, Ministry of Agriculture and Livestock Development - Member (i) Secretary, Ministry of Industry, Commerce and Supplies - Member (j) Four members nominated by the Government of Nepal from among experts related to land use, including at least two women - Member (k) Joint Secretary, Ministry of the Government of Nepal dealing with land management affairs -

Member-Secretary (2) The term of office of a member nominated pursuant to clause (j) of sub-section (1) shall be three years, and the Government of Nepal may remove such member from office at any time if they fail to perform their duties satisfactorily, act against the interest of the Federal Land Use Council, lack competence, or exhibit bad conduct. Provided that before removing any member, a reasonable opportunity to submit a defense shall be given to them. (3) The Council referred to in sub-section (1) may invite any stakeholder or expert to its meeting if deemed necessary. (4) Provisions relating to the service and conditions of the members designated pursuant to clause (j) of sub-section (1) shall be as prescribed. (5) The procedure relating to meetings of the Federal Land Use Council shall be as determined by the Council itself. 15.

Duties, Functions and Powers of the Federal Land Use Council: In addition to the duties, functions and powers mentioned elsewhere in this Act, the duties, functions and powers of the Federal Land Use Council shall be as follows:- (a) To formulate and cause to implement a national-level land use plan based on long-term and periodic development plans and implementation capacity, (b) To make necessary coordination among various agencies of the Government of Nepal for operating the land use plan, (c) To cause the preparation of necessary land use map data for operating the land use plan, (d) To prepare other necessary bases and criteria relating to land use zone classification, plan formulation, and implementation, (e) To resolve inter-provincial land use disputes as prescribed. 16. Provincial Land Use Council: (1) For carrying out provincial-level land use related work, there shall be a Provincial Land Use Council in each Province as follows:- (a) Minister, Ministry of the Provincial Government dealing with land management affairs - Chairperson (b) Secretaries, Ministries of the Provincial Government dealing with finance, agriculture, forest, law, industry, urban development, local development affairs - Member (c) Four members nominated by the Provincial Government from among experts related to land use, including at least two women - Member (d) Secretary, Ministry of the Provincial Government dealing with land management affairs - Member-Secretary (2) The term of office of a member nominated pursuant to clause (c) of sub-section (1) shall be three years, and the Provincial Government may remove such member from office at any time if they fail to perform their duties satisfactorily, act against the interest of the Provincial Land Use Council, lack competence, or exhibit bad conduct. Provided that before removing any member, a reasonable time to submit a defense shall be given to them. (3) The Provincial Land Use Council may invite any stakeholder or expert to its meeting if deemed necessary. (4) Provisions relating to the service and conditions of the members nominated pursuant to clause (c) of sub-section (1) shall be as prescribed. (5) The procedure relating to meetings of the Provincial Land Use Council shall be as determined by the Council itself. 17.

Duties, Functions and Powers of the Provincial Land Use Council: In addition to the duties, functions and powers mentioned elsewhere in this Act, the duties, functions and powers of the Provincial Land Use Council shall be as follows:- (a) To formulate, implement, and regulate provincial-level policies relating to land use, (b) To prepare provincial-level land use plans and standards, (c) To resolve inter-local level land use disputes as prescribed, (d) To prepare the provincial-level land use map database and update records, (e) To manage or cause to be managed land that is unused, underused, misused, or exploited. 18. Local Land Use Council: (1) For the formulation and implementation of land use zones and land use plans, there shall be a Local Land Use Council in each Local Level. (2) The concerned Village Executive or Municipal Executive shall function as the Local Land Use Council. (3) The Local Land Use Council may seek the assistance of subject matter experts in the course of performing its functions. (4) Meetings of the Local Land Use Council shall be held as required. (5) The procedure relating to meetings of the Local Land Use Council shall be as determined by the Council itself. 19. Duties, Functions and Powers of the Local Land Use Council: In addition to the duties, functions and powers mentioned elsewhere in this Act, the duties, functions and powers of the Local Land Use Council shall be as follows:- (a) To approve the local land use plan, (b) To collect, analyze, and utilize

land-related data, (c) To cause the updating of the land use zone map of its level, (d) To classify land use sub-zones of its level as required, (e) To direct the Local Land Use Implementation Committee to make information relating to land use zone classification accessible to stakeholders as prescribed, (f) To prepare and implement procedures and standards for the implementation of the local level land use plan, (g) To monitor the implementation of the land use plan, (h) To recommend for land use change with clear bases and reasons, (i) To take action for use different from the designated use, (j) To reward individuals, families, or institutions making significant contributions to land use, (k) To protect religious, historical, cultural, archaeological, public, and community sites, (l) To formulate and pass necessary policies relating to land use of its level. 20.

Implementation Committee: (1) To assist in the work of the Local Land Use Council, there shall be a Land Use Implementation Committee in each Local Level as follows:- (a) Chairperson or Chief of the concerned Village Executive or Municipal Executive - Chairperson (b) Ward Chairperson of the concerned ward - Member (c) Branch chiefs of the Local Level related to agriculture, forest, land, urban development, and physical infrastructure - Member (d) Four members designated by the Local Land Use Council from among stakeholders, including two women - Member (e) Chief Administrative Officer of the concerned Local Level - Member-Secretary (2) The term of office of members designated pursuant to clause (d) of sub-section (1) shall be three years. (3) The duties, functions and powers of the Implementation Committee shall be as follows:- (a) To implement the land use plan approved by the Local Land Use Council, (b) To publicize information of the classified zone for the information of stakeholders as prescribed, (c) To prepare ward-level land use plans for each ward, (d) To get the ward-level land use plan approved by the Ward Committee and, on its basis, prepare the comprehensive land use plan of the Local Level and submit it to the Local Land Use Council, (e) To submit problems encountered during implementation, along with options for resolution, to the Local Land Use Council, (f) To raise awareness for the conservation and sustainable use of land, (g) To recommend to the Local Land Use Council for action in case of use different from the designated use or non-compliance as prescribed, (h) To monitor whether arable land is left fallow, (i) To identify community land and arrange for its use in collective interest, (j) To recommend rewarding individuals, families, or institutions making significant contributions to land use. (4) Provisions relating to the meetings of the Implementation Committee shall be as prescribed. 21. Provision Relating to Land Bank: (1) For implementing provisions relating to land use classification and enhancing productivity by maximizing land use, the Government of Nepal may establish a Land Bank at the Local Level as required. (2) Other provisions relating to the Land Bank shall be as prescribed. 22. Facilities and Incentives: The Government of Nepal, Provincial Government, and Local Level may operate various programs to encourage farmers who maximize the use of arable land. 23. Review of Land Use Plan: The Government of Nepal may review the land use plan every seven years, the Provincial Government every five years, and the Local Level as required. Chapter-5 Offenses and Penalties 24.

Acts Deemed to be Offenses: Committing the following acts shall be deemed to be an offense under this Act:- (a) Failure to act in accordance with the level-wise land use map and land use plan, (b) Keeping agricultural land classified as such fallow continuously for three years, except in cases where a notice with reasonable and sufficient cause for keeping the land fallow due to circumstances beyond control has been submitted to the concerned Local Level, (c) Changing the designated land use zone classification except under the circumstances mentioned in this Act. 25. Penalties: (1) If a person commits the following offenses, the prescribed authority may impose the following penalties:- (a) For an offense under clause (a) of Section 24, a fine of up to two hundred thousand rupees. (b) For an offense under clause (b) of Section 24, a fine of up to one hundred thousand rupees based on estimated production. (c) For an offense under clause (c) of Section

24, a fine of up to three hundred thousand rupees. (2) If an offense under clause (c) of Section 24 is committed by changing the designated land use, the authority under sub-section (1) may, in addition to the fine mentioned in sub-section (1), give an order to restore the land use to its original state within six months.

26. Powers Equivalent to a Court: While conducting proceedings and adjudicating offenses under Section 24, the prescribed authority shall have powers equivalent to a court under the prevailing law in matters such as summoning parties, recording statements, examining evidence, and requiring submission of documents.

27. Right to File Complaint: A complaint may be filed with the prescribed body for an offense committed under Section 24.

28. Appeal: A party dissatisfied with the penalty imposed under Section 25 may file an appeal with the concerned District Court.

29. Summary Procedure to be Followed: While conducting proceedings and adjudicating cases related to offenses under Section 24, the procedure pursuant to the Summary Procedure Act, 2028 shall be adopted.

Chapter-6 Miscellaneous

30. Power to Delegate Authority: The authority prescribed under this Act may delegate all or some of the powers received by them, except the power to hear cases, to an officer subordinate to them.

31. Nomination on the Basis of Inclusiveness: While nominating expert members to the Federal Land Use Council or Provincial Land Use Council under this Act, the Government of Nepal or the Provincial Government shall do so on the basis of inclusiveness.

32.